

# Q4 GDP First Impressions: consumers underwhelm and supply surprises positively

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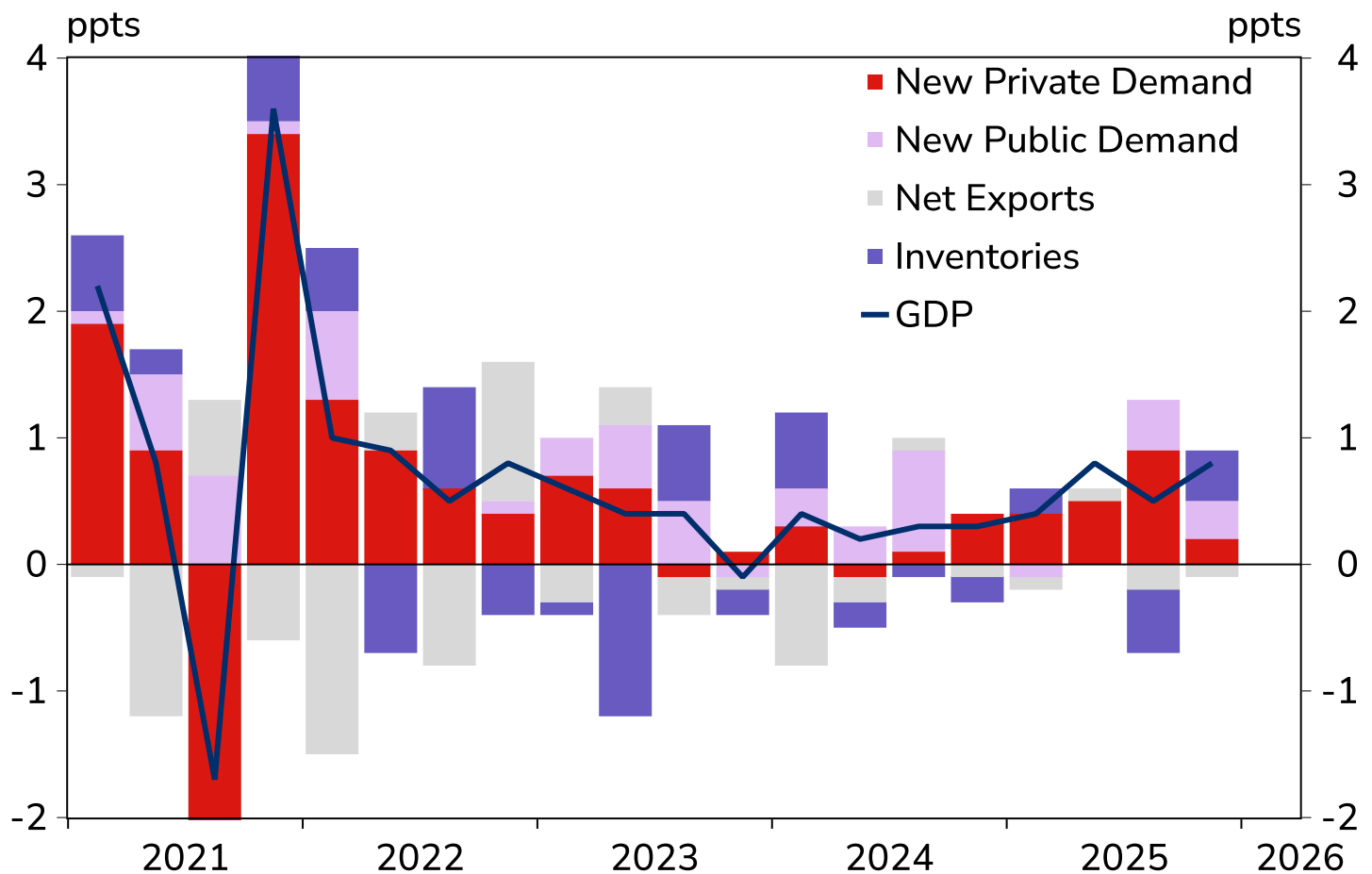
The downside surprise was concentrated in consumption; elsewhere, the data were largely as expected.



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- Domestic demand momentum remains solid and, at 2.9%yr, is running above our estimate of the economy's potential growth rate of around 2¼%. What had been framed as a handover from public to private sources of growth now looks more like a temporary breather in public demand, with both public and private spending again contributing to growth. In Q4, public spending contributed 0.4ppt to GDP growth (+0.2ppt from inventories and +0.2ppts from consumption and new investment), broadly in line with the 0.5ppt contribution from private spending (0.2ppt from inventories and 0.3ppt from consumption and new investment).
- Relative to our initial preview, volatile components of GDP, including inventories, accounted for much of the upside surprise in the headline outcome. Importantly, this largely reflects a payback from the previous quarter, when public and mining inventories were run down and subtracted around 0.5ppt from GDP growth, rather than a material improvement in underlying momentum. Abstracting from this volatility, the economy appears to be growing at around 2.4%yr, close to the RBA's February forecast of 2.3%yr.
- While the strength in demand was broadly anticipated, the extent of the pick-up in productivity was a positive and unexpected development. Total productivity rose 1.0%yr in Q4, with market-sector productivity (ex-mining) up 1.1%yr. This has helped slow growth in the economy's cost base, with growth in unit labour cost easing to below 4%yr for the first time since the pandemic and now running at 2019 rates (3.3%yr across the whole economy and around 3.1%yr in the market sector ex-mining). This moderation is consistent with gradually easing labour-market conditions through 2025. Whether this improvement can be sustained remains uncertain. A re-tightening in labour-market conditions could see wages growth and hours worked re-accelerate, placing renewed upward pressure on costs and risking a reversal of recent progress. So far, though, this re-tightening is not yet in evidence.

# Contributions to Quarterly GDP Growth



Source: ABS, Macrobond, Westpac Economics

## The detail

The December quarter National Accounts show Australia's recovery accelerated over the final quarter of 2025, with the economy expanding 0.8%qtr to be up 2.6%yr in year-ended terms. The quarterly outcome was in line with the median market expectation, but softer than Westpac Economics' final nowcast of 1.1%qtr, on the back of softer than expected household consumption (1.0%qtr expected v 0.3%qtr outcome). Revisions to previous quarters saw the year-ended outcome come in at 2.6% over 2025, which was bang on Westpac Economics' nowcast, and stronger than the 2.3%yr expected by the market.

**Domestic demand** (spending by consumers, businesses, and governments) grew 0.5%qtr in Q4 and 2.9% in year-ended terms – the strongest year-ended growth since the June quarter 2018 (outside the pandemic). There was no need for a 'handover' with both the private and public sectors contributing to the pick-up in domestic demand.

**New private demand** grew a strong 0.4%qtr and 3.2% in year-ended terms. **Consumer spending posted a surprise slowing** in the quarter increasing just 0.3%qtr and 2.4%yr. Electricity rebates reduced consumer spending by around 0.2ppts in Q4. With population growth projections running at 1.6%yr, this implies consumption per capita has started to post sizable increases. The Aussie consumer continues to be supported by rising real incomes which grew 1.0%qtr and 3.7%yr.

**New business investment** came in a touch stronger than expected at +0.5%qtr and +4.4%yr (compared to +0.2%qtr, +3.5%yr). Investment increases were recorded across most of the asset classes, including new building (+2.0%qtr and +8.9%yr) and new engineering construction (+0.5%qtr and -1.8%yr), which was partly offset by a 1.1%qtr fall in machinery and equipment.

**Housing construction** activity grew 0.6%qtr and 5.5%yr, broadly in line with our expectations (+0.7%qtr, +5.4%yr). The quarterly outcome was driven by the construction of new dwellings (1.1%qtr), with renovation activity falling 0.3%qtr. There remains a healthy pipeline of projects to work through, which should support housing construction activity going forward.

**Net exports and inventories** were in line with expectations with the more volatile components of GDP contributing around 0.3ppts to growth in Q4. The build-up in mining and public sector inventories contributed around 0.4ppts to Q4 growth, while net exports detracted 0.1ppts.

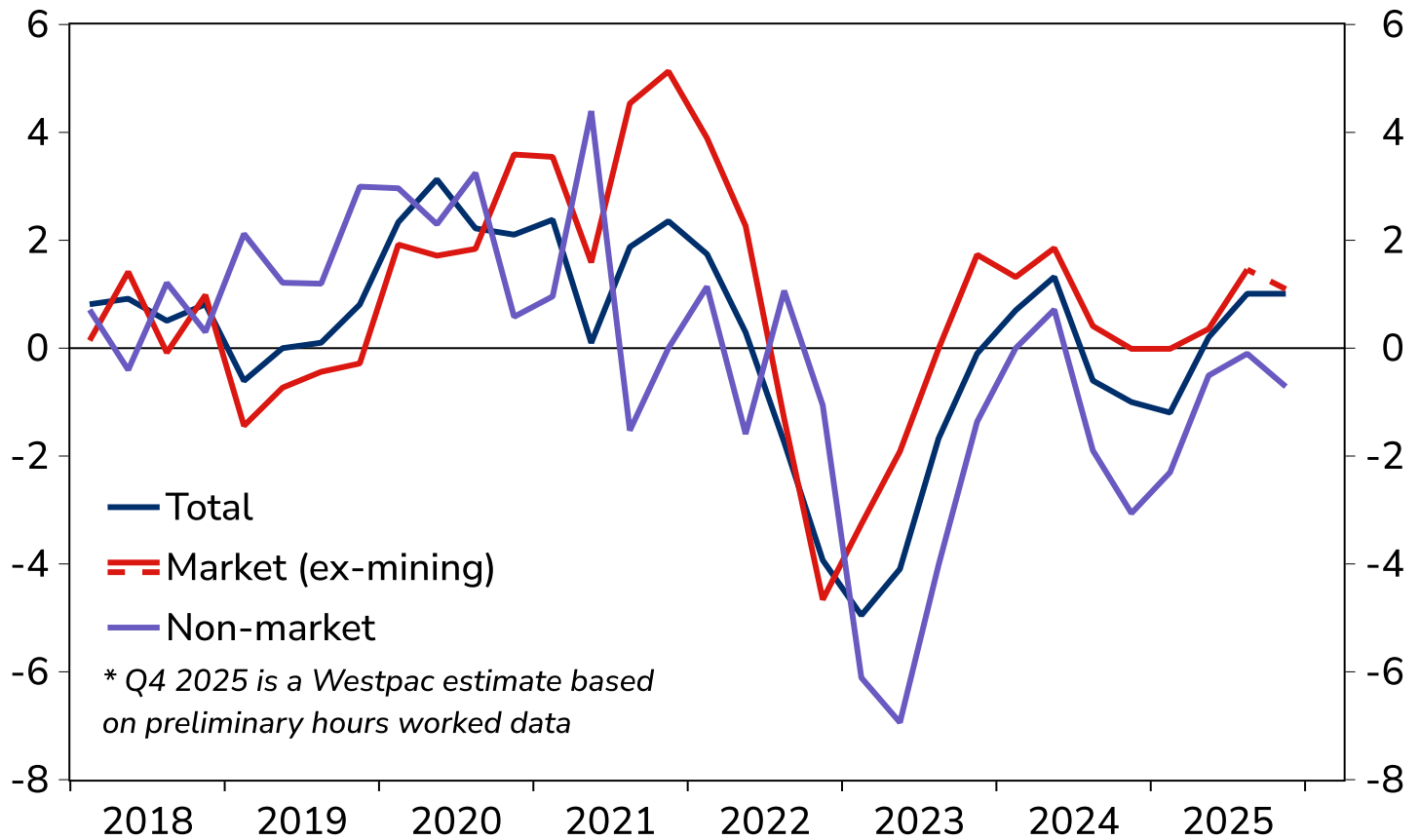
Note, the statistical discrepancy detracted 0.2ppt from growth over the quarter, compared to a flat contribution last quarter.

### **It's not only demand, supply is also responding**

Labour productivity bounced to grow 1.0%yr. Digging a little deeper, we estimate that productivity in the market (ex-mining) sector grew at around 1.1%yr in Q4 (estimates will be finalised after Friday's Labour Accounts).

# Productivity by Sector

Year-ended percentage change

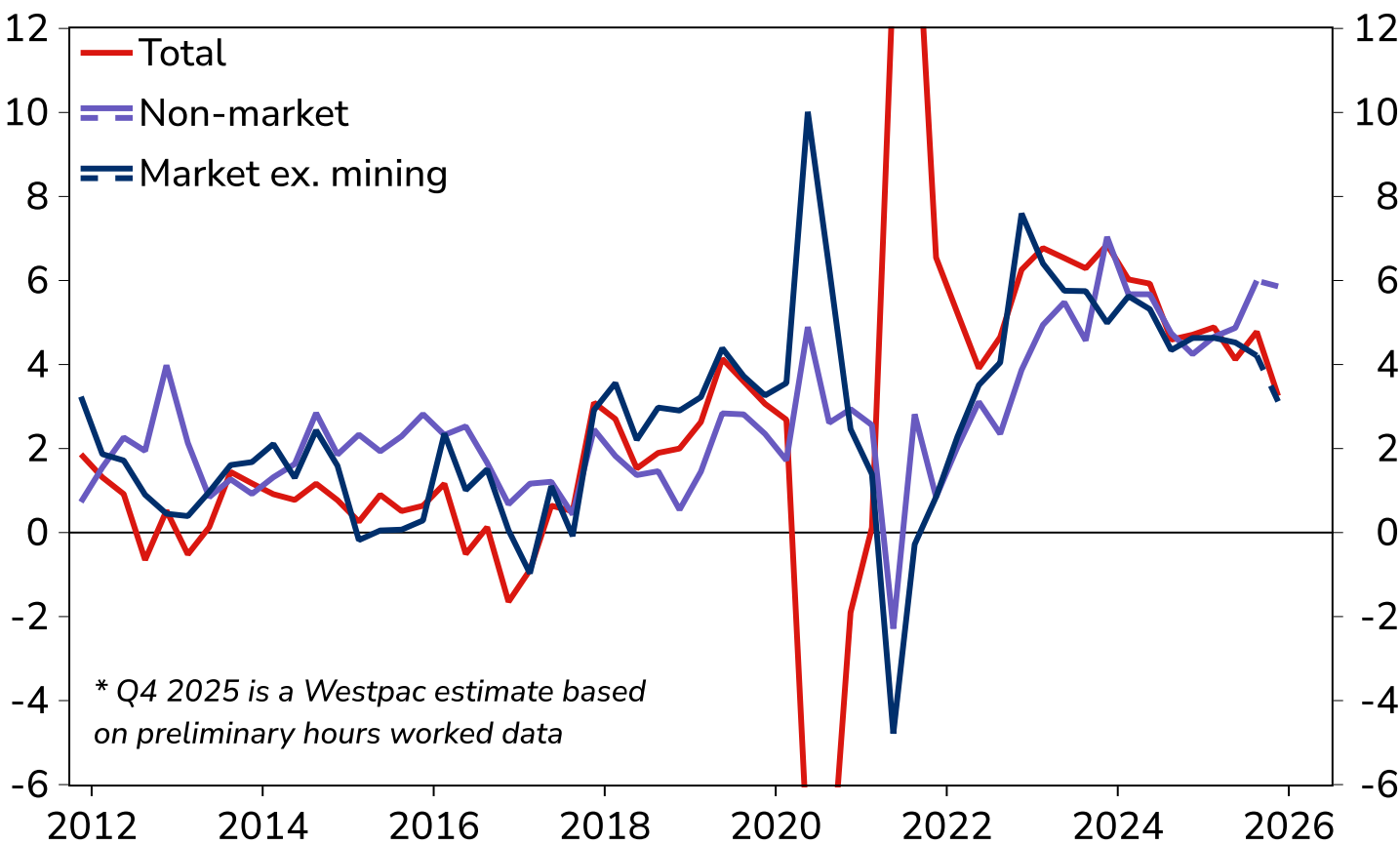


Source: ABS, Macrobond, Westpac Economics

This has helped slow growth in the economy's cost base, with growth in unit labour cost easing to below 4%yr for the first time since the pandemic and now running at 2029 rates (3.3%yr across the whole economy and around 3.1%yr in the market sector ex-mining).

# Unit labour costs by sector

Year-ended percentage change



Source: ABS, Macrobond, Westpac Economics

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